2023 Maintenance Increase — Board Memo dated November 27, 2023

Effective January 1, 2024 · Rate: $17.80 → $19.38 per share · Increase: +$1.58/share/year · +$134,342 annually · 9%

The Board of Directors' projected expense increase was 110% too high — after removing the one-time fire and water damage charge of $228,074.

The memo projected $218,800 in total expense increases to justify the 9% increase. Once the unforeseeable $228,074 fire and water damage event is properly excluded as a non-operating expense, actual 2024 operating expenses increased by only $103,809 — less than half the board's projection.

Board projections vs. 2024 audited actual results:

- **Fuel oil projected +$110,000:** Actual increase +$37,866 — one-third of projection.
- **Insurance projected +$23,000:** Actual increase +$12,507.
- **Real estate taxes projected +$8,500:** Actual increase +$14,940 — the one item that exceeded projection.
- **Other expenses projected +$77,300:** Actual increase +$38,496.
- **Total projected increase: $218,800.** Actual adjusted increase: $103,809. Overestimate: $114,991 (110%).

The 9% maintenance increase generated approximately $134,342 in additional annual income against an actual adjusted cost increase of $103,809 — collecting roughly $30,533 more than the actual cost increase required. A formal written request for reconsideration was submitted to Westchester Property Management Group by Peter Merson on December 4, 2025. No response was received.

Original board memo follows on the next page.

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PROPERTY MANAGEMENT REAL ESTATE SALES FINANCIAL MANAGEMENT

November 27, 2023

To All Riveredge Shareholders

Re: Maintenance Increase

The Board of Directors of the Riveredge Owners, Inc. has reviewed the actual operating expenses for the first nine months of 2023 and a forecast of future expenses in 2024. Unfortunately, the expenses of operating the Riveredge have increased greatly in the past two years and the Riveredge cannot continue to absorb these increased costs.

The Board projects dramatic increases in the cost of operating the Riveredge building and property in 2024. These include projected increases of $110,000 for fuel oil, $23,000 for insurance, $8,500 for real estate taxes and $77,300 in other expenses.

After careful consideration the Board of Directors has voted to increase the monthly maintenance by 9%, an increase of $1.58 per share, starting on January 1, 2024.

The Board understands that no one enjoys these increases, but they are essential at this time. As always, the Board will closely monitor every cost incurred and assess the fiscal status of the Riveredge as we move forward. The Board asks for your continued support as we plan for the challenges ahead.

Shareholders who use on-line paying for their maintenance and parking must notify their banks of the changes.

Very truly yours,

WESTCHESTER PROPERTY MANAGEMENT GROUP INC.

Laurette R. Valdez
Senior Property Management